

- Lesson: As price moves, pay attention to the surrounding price landscape for clues to how the stock may behave. Look for support and resistance areas where the stock might reverse.
- Lesson: Play with price mirrors.

Price mirror: Pick a vertical turning point on the price chart and reflect the left side of the chart onto the empty, right side. The peaks and valleys on the right, in the future, might match the ones that happened in the past. It's better than sex when it works, and it gives you some idea of what the future could bring.

For example, if you were to flip the chart across the head of a head-and-shoulders top, you'd see that the right shoulder will match the distance and price of the left shoulder. You can continue the analysis for the rest of the chart, too, giving both price and time on the turns.

Sample Trade

“If you wait long enough,” Sandra sold me, “you get rewarded.”

My stomach growled. I was wondering if she'd reward me with a meal. She's a terrific cook. Instead, she pulled up [Figure 11.5](#) on her computer screen.